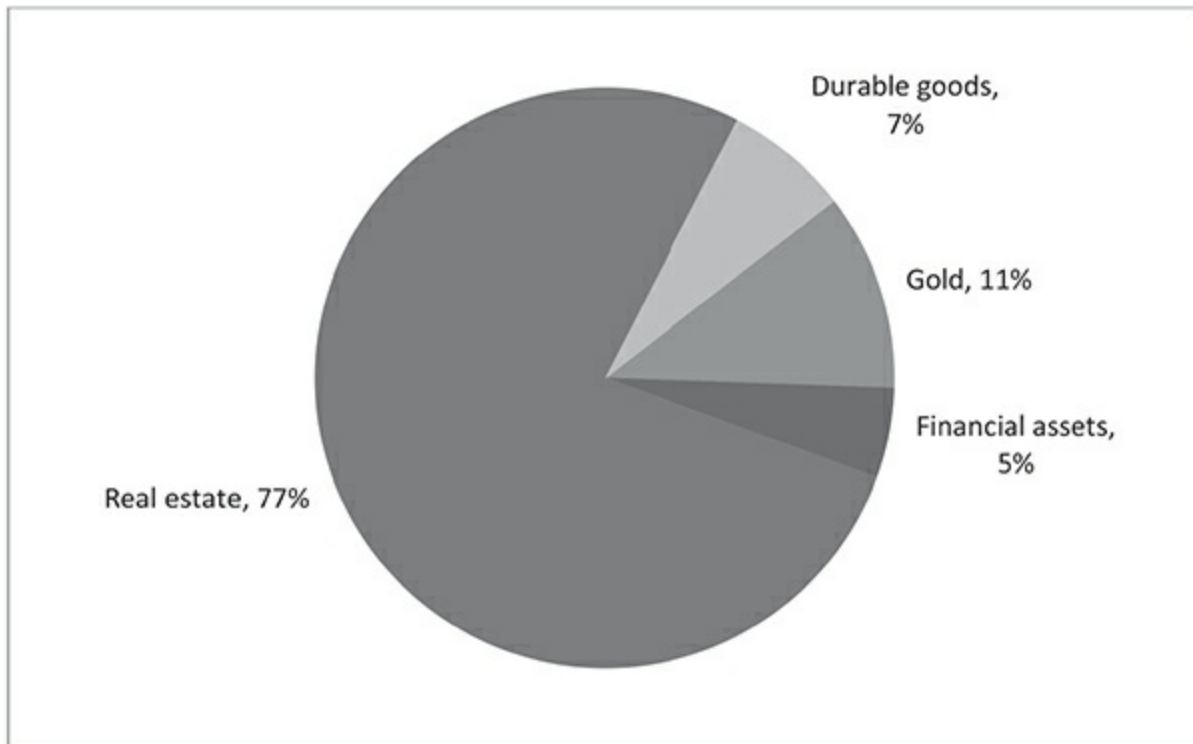


Exhibit 31: The allocation of household assets in India shows significant skew towards real estate



Source: The RBI's Household Finance Committee Report, 2017

‘House prices only go up’: Unlike other asset classes like equity and debt, which can have a cycle of three to five years (i.e. price movements change their trend every three to five years), real estate runs into super cycles of more than ten years. So, most people who made significant profits in the bull cycle of 2003–13 don’t have any experience or memory of a downward cycle. As a result, they get caught in the belief that real estate prices can only go up. The fact that there are no reliable real estate price indices helps to propagate this myth in India (one that is held by millions of Indians). However, veterans who saw the real estate crash of the late 1990s know better. Thanks to an article published in the *India Today* in August 1997, we have some data on how prices crashed in that era.